Airtel Africa plc (: AAF.L)

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H1 FY2027 Earnings — Analyst Brief · Released 30 Oct 2026 · Currency USD (tables in $ millions unless stated; company reports in USD — no FX conversion applied)

Prepared: 12 Nov 2026

B2Tech · via Merlin

Shares fell c.5.5% to ~259p on 30 Oct 2026 (Investing.com; a second secondary source cites -5.3%), having opened as high as 282p before reversing to a new 52-week low intraday (range cited 255.6p–436.2p). The move was attributed to the doubling of capex, Nigeria's sequential deceleration, the $55m exceptional charge and a risk-off tape, rather than to the H1 numbers themselves. Closing level not verified against LSE official data.

THE ONE-LINE VERDICT

A clean, high-quality half: revenue +28.2% reported / +20.8% constant currency to $3,823m, underlying EBITDA +32.8% to $1,921m with a record 50.4% Q2 margin despite a c.2–2.5pp fuel headwind, pre-exceptional EPS +41% to 11.7c and leverage down to 1.6x (0.5x lease-adjusted). The market nonetheless sold the shares c.5.5% to a new 52-week low: capex doubled to $657m, Nigeria decelerated (cc growth 24.4% in Q2 vs 29.8% in Q1, voice revenue down 6% QoQ), $55m of exceptionals hit PAT, and the NGN/ZMW translation tailwind that flattered reported growth expires in Q3. Guidance is unchanged (FY27 capex ~$1.1bn, margins "above 50%", dividend mid-to-high single-digit growth).

H1 REVENUE	UNDERLYING EBITDA / MARGIN	EPS (BASIC / PRE-EXCEPTIONAL)	CAPEX	LEVERAGE (NET DEBT/EBITDA)	CUSTOMERS / MOBILE MONEY CUSTOMERS
$3,823m	**$1,921m / 50.3%**	**10.2c / 11.7c**	**$657m**	**1.6x (lease-adj 0.5x)**	**193.9m / 60.9m**
+28.2% reported / +20.8% cc; Q2 $1,970m +6.3% QoQ	+32.8% rep, +23.5% cc; margin +172bps; Q2 record 50.4%	+23.3% / +41.2%; ex-FX gains 11.8c vs 6.9c	+106.5% YoY; 60% of unchanged ~$1.1bn FY27 guide	from 2.1x / 0.8x; net debt $5,870m	+11.6% / +22.4% YoY; +2.6% / +7.8% QoQ

1 EXECUTIVE SUMMARY

- **Headline beat on quality, not on narrative.** H1 FY27 (six months to 30 Sep 2026; FYE 31 March) revenue of $3,823m was +28.2% reported and +20.8% constant currency (cc), underlying EBITDA $1,921m (+32.8% / +23.5% cc) at a 50.3% margin (+172bps reported, +109bps cc), PAT $452m (+20.5%), basic EPS 10.2c (+23.3%). No published consensus was available to us; the operating numbers are strong on any reading, but the shares fell c.5.5% on the day (see below).
- **Q2 standalone shows the run-rate.** Q2 FY27 revenue $1,970m (+25.7% reported, +20.6% cc, +6.3% QoQ), underlying EBITDA $993m (+29.4% / +22.7% cc, +7.0% QoQ) and a record 50.4% margin (+144bps YoY, +35bps QoQ) despite management saying fuel prices (doubling in Nigeria since April) cost c.2–2.5pp of group margin, c.90% of which was already absorbed in Q2.
- **Growth mix: data and mobile money carry the group.** In cc, voice +11.1% ($1,296m), data +28.0% ($1,571m), mobile money +25.8% ($840m segment, $699m post-elimination), other +7.6%. Data is now 50.0% of mobile services revenue (46.5% a year ago). Currency translation added c.$187m to reported revenue (slides) via NGN appreciation (avg 1,360 vs 1,553) and the Zambian kwacha.
- **Regional growth is broad but Nigeria decelerated.** H1 cc revenue growth: Nigeria +27.0% ($1,014m, 58.1% EBITDA margin), East Africa +18.2% ($1,777m, 53.6%), Francophone +19.2% ($1,022m, 44.0%). Q2 cc: Nigeria 24.4% (Q1 29.8%) as the Q4 FY25 tariff uplift fully lapped and an airtime-advance partner disruption dragged; East Africa accelerated to 18.6% and Francophone to 20.3%.
- **Guidance unchanged — the bridge is flat.** FY27 capex guidance stays at ~$1.1bn (set at FY26 results in May 2026) after H1 capex of $657m (+106.5%), implying H2 of only ~$443m; EBITDA margin commentary is 'above 50%'; dividend policy of mid-to-high single-digit growth reaffirmed with the interim raised 9.2% to 3.1c; the 1% buyback is 67% complete with the remaining 0.33% to resume post close-period. No revenue guidance is given. Management explicitly flagged that the NGN/ZMW lapping benefit ends in Q3, so reported growth will converge toward cc.
- **Mobile money is the structural engine and now a listed asset.** Segment revenue $840m (+25.8% cc), customers 60.9m (+22.4%), TPV $130.1bn in H1 (+36.9% cc) and annualised Q2 TPV $275bn (+36.5%); TPV per customer $380/month (+11.7%). Segment EBITDA margin fell 287bps to 48.9% purely because of the renegotiated intra-group agreements (neutral at group level). Mobile money overtook voice in East Africa ($615m vs $593m).
- **Airtel Money IPO completed 14 Oct 2026** — 270m existing shares (10%) sold by minority holders at £1.96 (c.£5.3bn / ~$7bn equity value per press reports); Airtel Africa sold nothing and retains 77.85%; 27m-share over-allotment outstanding. The $509m minority put-option liability will be derecognised in H2 with the gain to equity. Airtel Money's own maiden H1 print (per the iBetAfrica piece supplied): revenue $830m (+34% / +25.1% cc), PAT $228m, underlying EBITDA $398m at 48.0% — the $10m gap to the group segment is Nigeria PSB, which sits outside the listed entity.
- **Cost efficiency programme (running >2 years) is doing the heavy lifting against fuel.** Levers cited: off-grid-to-grid conversion, solar/battery, AI-driven network energy optimisation, technology modernisation. CFO: at Q4 FY26 fuel prices margins would have been 1.5–2pp higher. Network opex rose to 19.0% of revenue in Q2 from 17.8% in Q1 (our calc) — that is the fuel line; S&M held at 13.2–13.3% of revenue.
- **Capex front-loaded; cash conversion lower.** Capex/revenue 17.2% in H1 (10.7% a year ago; 21.0% in Q1, 13.6% in Q2). Operating FCF $1,264m (+12.0%), net cash from operations $1,759m (+26.7%), but management's normalised FCF fell to $280m from $368m after a $713m capex cash payout (incl. $37m Nigeria 900MHz renewal and $65m Kenya 3,500MHz spectrum), $317m cash tax and $430m cash interest.
- **Balance sheet keeps improving.** Net debt $5,870m (of which leases $4,497m); leverage 1.6x (2.1x), lease-adjusted net debt $1,373m and 0.5x (0.8x); >95% of OpCo debt in local currency; weighted average cost of debt 10.1% (-231bps). ROCE 25.7% (+543bps). Cash $717m plus $1,489m in mobile money trust (restricted).
- **Exceptionals and FX muddy the P&L comparison.** $37m exceptional finance cost (Q1, in-principle settlement of a commercial dispute at a subsidiary) and $19m operating exceptional (Airtel Money IPO costs, Q2), total $55m; FX/derivative gains fell to $2m from $90m. Strip both out and EPS rose to 11.8c from 6.9c (+71%). Underlying finance cost (ex-FX,

ex-exceptional) rose to $442m from $394m on $47m higher lease interest from c.2,200 sites added in the period.

- **Tax remains the structural drag.** Total tax charge $362m (+29.1%); company-stated effective rate 40.2% (reported tax/PBT 44.5% on our calc) versus a c.32% weighted statutory rate, driven by profit mix and withholding taxes on subsidiary dividends. Contingent liabilities rose $56m to $277m, including a $132m retrospective WHT assessment on historical dividends at one subsidiary (no provision).
- **Shareholder returns.** $108.7m returned via buyback (24.5m shares, 0.67% of capital; first tranche completed 28 Sep 2026; average c.$4.44/share); interim DPS 3.1c (+9.2%, record 13 Nov, paid 11 Dec 2026); $155m dividends paid to owners and $45m to NCI in H1. Nigeria is expected to turn retained-earnings positive this calendar year, allowing dividend upstreaming from 2027.
- **Strategy/new businesses.** c.4,200 sites added over 12 months, 4,400 additional 4G sites, 99.2% of sites 4G-enabled, 4,094 5G sites across seven markets (5G launched in Gabon and Seychelles), fibre >83,000km. MyAirtel app MAU 14m (8m), app TPV $7.7bn in H1 (+75%). Enterprise base +~60%. Three data centres (Lagos 38MW under construction, Kenya 44MW broken ground, DRC 9MW land acquired). Starlink partnership covers backhaul, enterprise and early direct-to-device in DRC/Uganda under the Airtel brand.
- **Governance refresh.** Gopal Vittal became non-executive chair on 9 Jul 2026 (Sunil Bharti Mittal retired as chair), Shravin Bharti Mittal deputy chair, Annika Poutiainen retired, V.K. Viswanathan appointed INED (22 Jul 2026). Regulatory items: Nigeria 900MHz renewed ($37m, 10 years); Kenya 100MHz of 3,500MHz ($65m, 25 years); ongoing engagement on Uganda 90% coverage obligations and Nigeria tariff adjustments (no new increase secured).
- **Share price reaction: sell-the-news.** Shares fell c.5.5% to ~259p on 30 Oct 2026 (secondary sources; another cites -5.3%), reversing an early rally to 282p and marking a new 52-week low intraday. The debate is valuation versus capex intensity and Nigeria momentum, not the quality of the H1 numbers.
- **Thesis read-through.** The two-engine model (mobile services 5-year revenue CAGR 18.4%; mobile money 28.8%) is intact and operating leverage is visible (EBITDA growing faster than revenue in cc), but H2 reported growth decelerates mechanically as FX lapping ends, Nigeria's price-led growth normalises toward volume-led growth, and the capex step-up compresses FCF. The listed Airtel Money stake (77.85% of a c. £5.3bn IPO valuation ≈ £4.1bn vs AAF market cap of ~£9.4bn at 259p, our estimate) now provides a hard valuation marker for the sum-of-the-parts debate.

2 GROUP FINANCIAL SUMMARY

GROUP, US $M	Q2-27	QOQ	YOY REP	YOY CC	H1-27	H1 YOY REP	H1 YOY CC
Revenue	**1,970**	**+6.3%**	**+25.7%**	**+20.6%**	**3,823**	**+28.2%**	**+20.8%**
REVENUE BY REGION (INCL. MOBILE MONEY)							
Nigeria	514	+2.6%	+40.2%	+24.4%	1,014	+45.0%	+27.0%
East Africa	923	+8.1%	+22.3%	+18.6%	1,777	+24.8%	+18.2%
Francophone Africa Regional totals exceed group revenue by inter-regional eliminations.	529	+7.5%	+19.5%	+20.3%	1,022	+19.6%	+19.2%
REVENUE BY SEGMENT							
Mobile services	1,614	+5.6%	+23.8%	+18.8%	3,141	+25.9%	+18.9%
Mobile money (pre-elimination) Post inter-segment elimination mobile money revenue: H1 $699m vs $494m.	437	+8.2%	+31.3%	+25.8%	840	+34.8%	+25.8%
Inter-segment eliminations	(81)	—	—	—	(158)	—	—
REVENUE BY PRODUCT							
Voice	657	+2.7%	+15.7%	+11.0%	1,296	+17.9%	+11.1%
Data	821	+9.5%	+34.2%	+28.7%	1,571	+35.3%	+28.0%
Mobile money (segment)	437	+8.2%	+31.3%	+25.8%	840	+34.8%	+25.8%
Other	127	-1.6%	+6.6%	+2.5%	257	+13.2%	+7.6%
Operating expenses (ex D&A, ex exceptional)	(978)	+5.5%	+21.2%	+17.6%	(1,906)	+23.1%	+17.5%
Underlying EBITDA	**993**	**+7.0%**	**+29.4%**	**+22.7%**	**1,921**	**+32.8%**	**+23.5%**
Mobile services EBITDA	821	+7.3%	+28.9%	+22.7%	1,586	+32.7%	+24.4%
Mobile money EBITDA	213	+7.6%	+25.6%	+18.9%	411	+27.4%	+17.2%
HQ / unallocated	(41)	vs (35)	—	—	(76)	vs (71)	—
Underlying EBITDA margin	**50.4%**	**+35bps**	**+144bps**	**+87bps**	**50.3%**	**+172bps**	**+109bps**
Depreciation & amortisation	(315)	+4.7%	+23.9%	+19.8%	(616)	+26.2%	+20.1%
Operating exceptional items (Airtel Money IPO costs)	(19)	n/a	n/a	—	(19)	n/a	—
Operating profit (GAAP)	659	+5.1%	+28.5%	+20.6%	1,286	+34.2%	+23.4%
Net finance cost (ex exceptional) Includes FX/derivative gains of $2m in H1-27 vs $90m in H1-26.	(208)	-10.3%	+59.0%	—	(440)	+44.9%	—
Finance cost – exceptional (dispute settlement)	0	—	—	—	(37)	n/a	—
Profit before tax	454	+26.1%	+18.5%	—	814	+24.2%	—
Total tax charge Company-stated effective tax rate 40.2%; reported tax/PBT 44.5% (our calc).	(200)	+23.5%	+22.0%	—	(362)	+29.1%	—
Profit after tax (GAAP)	**254**	**+28.3%**	**+15.9%**	**—**	**452**	**+20.5%**	**—**
Profit attributable to owners	211	+31.9%	+19.1%	—	371	+22.7%	—
Basic EPS (GAAP, cents)	5.8	+31.8%	+19.7%	—	10.2	+23.3%	—
EPS before exceptional items (cents)	6.3	+16.7%	+29.2%	—	11.7	+41.2%	—
EPS pre-exceptional & ex FX/derivative gains (cents)	n/a	—	—	—	11.8	+71.0% (vs 6.9)	—
Interim dividend per share (cents)	—	—	—	—	3.1	+9.2%	—
GROUP KPIS							
Total customers (m)	193.9	+2.6%	+11.6%	—	193.9	+11.6%	—
Data customers (m)	89.9	+3.0%	+15.0%	—	89.9	+15.0%	—
Mobile money customers (m)	60.9	+7.8%	+22.4%	—	60.9	+22.4%	—
Blended ARPU ($/month)	3.4	vs 3.3	+12.2%	+7.6%	3.4	+15.0%	+8.4%
CASH FLOW & BALANCE SHEET							
Capex	268	-31.1%	+35.8%	—	657	+106.5%	—
Capex / revenue	13.6%	vs 21.0%	vs 12.6%	—	17.2%	vs 10.7%	—
Operating free cash flow (EBITDA – capex)	725	+34.5%	+27.1%	—	1,264	+12.0%	—
Net cash from operating activities	973	+23.8%	+18.7%	—	1,759	+26.7%	—
Normalised free cash flow (company slide)	n/a	—	—	—	280	-23.9% (vs 368)	—

GROUP, US $M	Q2-27	QOQ	YOY REP	YOY CC	H1-27	H1 YOY REP	H1 YOY CC
Cash & cash equivalents (balance sheet)	717	vs 646 (Mar-26)	vs 634	—	717	+13.1%	—
Net debt (incl. leases $4,497m)	5,870	+2.3% (vs 5,739)	+6.5%	—	5,870	vs 5,590 (Mar-26)	—
Lease-adjusted net debt	1,373	—	-15.9% (vs 1,633)	—	1,373	vs 1,366 (Mar-26)	—
Leverage (net debt / LTM EBITDA)	1.6x	vs 1.7x	vs 2.1x	—	1.6x	vs 1.8x (Mar-26)	—
Lease-adjusted leverage	0.5x	vs 0.5x	vs 0.8x	—	0.5x	vs 0.5x (Mar-26)	—
ROCE (LTM)	25.7%	vs 24.5%	+569bps	—	25.7%	+543bps	—

3 SEGMENT DEEP-DIVE — MOBILE SERVICES (NIGERIA, EAST AFRICA, FRANCOPHONE AFRICA TELECOMS)

Data is now half of mobile-services revenue; margin +258bps to 50.5% despite doubled fuel costs, with capex up 115% to $614m.

REVENUE AND MIX

Mobile services revenue rose 25.9% reported and 18.9% cc to $3,141m in H1; data crossed 50.0% of segment revenue.

- Q2 revenue $1,614m: +23.8% reported, +18.8% cc, +5.6% QoQ.
- Voice grew 11.1% cc to $1,296m almost entirely on 11.6% customer base expansion; voice ARPU -0.4% cc at $1.1.
- Total minutes +5.7%; usage flat at 278 minutes per month.
- Data grew 28.0% cc to $1,571m on 15.0% more data customers (89.9m) and 10.7% higher data ARPU ($3.0, +17.1% reported).
- Data share 50.0% versus 46.5% a year ago, 50.9% in Q2 alone; other revenue $274m grew 11.4% cc but slowed to 5.6% in Q2.

VOLUME VERSUS PRICE

Smartphone usage reached 13.3GB per month from 10.1GB; data ARPU growth (10.7%) lags usage growth (c.32%) under 'more-for-more' pricing.

- Smartphone penetration rose 4.8pp to 51.6%, over 100m smartphones on network; usage was 12.5GB in Q1.
- Revenue per GB falls as consumption rises; management framed this as deliberate: recruit at the low end, let consumption migrate up.
- c.71m 4G/5G data customers against a 194m base; the conversion runway is the core of the equity story.

EBITDA AND FUEL

Underlying EBITDA $1,586m (+32.7% reported, +24.4% cc) at 50.5% margin, +258bps reported and +222bps cc, despite fuel roughly doubling in Nigeria.

- Q2 margin 50.8%, +199bps YoY, c.+70bps QoQ; fuel prices rose across the footprint.
- CFO quantified group fuel drag at 2–2.5pp of margin, c.90% already in Q2; margins would be 1.5–2pp higher at Q4 FY26 fuel prices.
- Sequentially East Africa mobile services margin +350bps QoQ to 52.2%; Nigeria -130bps to 57.5% (58.8% in Q1); Francophone -120bps to 39.9%.
- Mitigants are the energy programme (grid conversion, solar/battery, AI network optimisation, equipment modernisation) and operating leverage.

REGIONAL PERFORMANCE

Nigeria revenue $1,008m (+44.6% reported, +26.6% cc) but Q2 cc growth slowed to 24.0% from 29.4% as Q4 FY25 tariff adjustments fully lapped.

- East Africa $1,258m (+20.2% reported, +15.4% cc) with Q2 accelerating to 16.4%; Francophone $867m (+15.8%, +15.3% cc), Q2 16.5% from 14.0%.
- Regional H1 EBITDA margins: Nigeria 58.2% (+181bps), East Africa 50.5% (+225bps), Francophone 40.5% (+93bps).
- Nigeria sequential softness — voice revenue -6.3% QoQ in USD, data customers +0.4m QoQ — is the one blemish.
- Attributed to regulation-forced airtime-advance partner changes and the pricing lap rather than competition, which management described as rational with no price war.

CAPEX AND CASH FLOW

Capex more than doubled to $614m (+115.1%), 19.5% of segment revenue versus 11.4%, yet operating free cash flow still grew 6.8% to $972m.

- Q2 capex $246m well below Q1 $368m — the front-loading the CFO described.
- Roughly 4,200 sites added over twelve months (c.2,200 in the half) plus 4,400 additional 4G sites; 99.2% of sites 4G-enabled.
- 5G live at 4,094 sites across seven markets (3,609 at June), including new launches in Gabon and Seychelles; fibre exceeds 83,000km.
- Q2 OpFCF $575m (+23.8% YoY) as EBITDA growth outran capex; D&A +25.4% to $587m and lease interest +$47m at group level are lagging costs.

ADJACENT BUSINESSES

Home broadband, enterprise, Nxtra data centres and Telesonic remain small but are where incremental capex is being pointed.

- Home broadband penetration c.3% across the footprint against >30m households with affordability.
- Enterprise customer base +~60%.

MOBILE SERVICES, US $M	Q2-27	QOQ	YOY REP	YOY CC	H1-27	H1 YOY REP	H1 YOY CC
Revenue	**1,614**	**+5.6%**	**+23.8%**	**+18.8%**	**3,141**	**+25.9%**	**+18.9%**
Voice	657	+2.7%	+15.7%	+11.0%	1,296	+17.9%	+11.1%
Data	821	+9.5%	+34.2%	+28.7%	1,571	+35.3%	+28.0%
Other	136	-1.4%	+9.7%	+5.6%	274	+17.1%	+11.4%
REVENUE BY REGION							
Nigeria	510	+2.4%	+39.7%	+24.0%	1,008	+44.6%	+26.6%
East Africa	652	+7.4%	+18.7%	+16.4%	1,258	+20.2%	+15.4%
Francophone Africa	448	+7.2%	+15.8%	+16.5%	867	+15.8%	+15.3%
Underlying EBITDA	**821**	**+7.3%**	**+28.9%**	**+22.7%**	**1,586**	**+32.7%**	**+24.4%**
Underlying EBITDA margin	50.8%	c.+70bps	+199bps	+163bps	50.5%	+258bps	+222bps
Nigeria margin	57.5%	-130bps	+64bps	+62bps	58.2%	+181bps	+181bps
East Africa margin	52.2%	+350bps	+205bps	+188bps	50.5%	+225bps	+211bps
Francophone margin	39.9%	-120bps	+35bps	+41bps	40.5%	+93bps	+100bps
Depreciation & amortisation	(300)	+4.5%	+22.8%	+18.4%	(587)	+25.4%	+19.1%
Operating profit	479	+8.4%	+34.8%	+26.7%	921	+40.5%	+29.8%
Capex	246	-33.2%	+42.5%	—	614	+115.1%	—
Capex / revenue	15.2%	vs 24.1%	vs 13.2%	—	19.5%	vs 11.4%	—
Operating free cash flow	575	+44.8%	+23.8%	—	972	+6.8%	—
KPIS							
Total customers (m)	193.9	+2.6%	+11.6%	—	193.9	+11.6%	—
Data customers (m)	89.9	+3.0%	+15.0%	—	89.9	+15.0%	—
Voice ARPU ($/month)	1.1	flat	+3.3%	-0.9%	1.1	+5.7%	-0.4%
Data ARPU ($/month)	3.1	vs 2.9	+15.8%	+11.1%	3.0	+17.1%	+10.7%
Smartphone penetration	51.6%	+0.6pp	+4.8pp	—	51.6%	+4.8pp	—
Smartphone data usage (GB/month)	13.3	vs 12.5	vs 10.1	—	13.3	vs 10.1	—
Data share of segment revenue	50.9%	vs 49.1%	—	—	50.0%	vs 46.5%	—
Voice usage (min/customer/month)	n/a	—	—	—	278	minutes +5.7%	—
5G sites / 4G-enabled sites	4,094 / 99.2%	vs 3,609	—	—	4,094 / 99.2%	7 markets	—

4 SEGMENT DEEP-DIVE — MOBILE MONEY (AIRTEL MONEY, ALL 14 OPCOS INCL. NIGERIA PSB)

Revenue +25.8% cc to $840m on 22.4% customer growth and 37% TPV growth; margin -287bps to 48.9% is the intra-group repricing, not deterioration; now separately listed (AAF retains 77.85%).

REVENUE AND CUSTOMERS

Revenue $840m in H1 (+34.8% reported, +25.8% cc), with cc growth a remarkably stable 25.8% across Q1, Q2 and H1.

- Q2 revenue $437m: +31.3% reported, +25.8% cc, +8.2% QoQ.
- Post inter-segment elimination (the cross-charge to mobile services), revenue was $699m against $494m.
- Customers +22.4% to 60.9m (+7.8% QoQ, 4.4m net adds in the quarter), lifting penetration of the telco base 2.8pp to 31.4%.
- cc ARPU rose only 2.6% to $2.5 (+10.0% reported) because renegotiated intra-group agreements depress both revenue and ARPU.
- Management points to the 133m Airtel telecom customers not yet on the wallet as the acquisition pool.

TRANSACTION VALUE AND PRODUCTS

Volume is the story: total processed value reached $130.1bn in H1 (+46.4% reported, +36.9% cc); implied take rate c.0.65% and drifting down.

- Q2 TPV $68.6bn (+42.1% reported, +36.5% cc, +11.7% QoQ); annualised run-rate $275bn versus 'over $245bn' at Q1 and $196bn for FY26.
- TPV per customer rose 11.7% to $380 per month.
- Wallet services (cash-in/cash-out) +27.6% cc to $409m; payments and transfers +29.8% to $363m (33.2% in Q2, fastest-growing large line).
- Financial services +56.9% to $45m, share of revenue 5.4% from 4.3%; 'others' (retention revenue) -40.7% to $23m on intra-group changes.
- Take rate falls as payments and transfers outgrow cash-out — the same dynamic the market flagged in Airtel Money's post-IPO print.

DISTRIBUTION AND DIGITAL

Active agents exceeded 2.5m (+25.3%) and active merchants 587,000 (+85.5%); the growth algorithm is engagement-led rather than purely acquisition-led.

- Exclusive retail touchpoints 48,000; merchants on interoperable QR, tap-and-pay and payment links.
- App-transacting customers 6.6m; app penetration of smartphone base 19.9% (14.6%); smartphone users over 54% of mobile money base.
- App and multi-service customers carry higher ARPU.

REGIONAL SPLIT

East Africa generated $615m (+20.5% cc), now larger than East Africa voice revenue; Francophone $215m (+40.2% cc) driven by DRC.

- East Africa customers 44.1m (+13.5%).
- Francophone customers 12.6m (+41.9%, 10.5% QoQ).
- Nigeria (PSB) $10m from 4.2m customers (+110.9%), still immaterial.

EBITDA AND CASH

Underlying EBITDA $411m (+27.4% reported, +17.2% cc) at 48.9% margin, -287bps reported and -359bps cc; this is intra-group repricing, not deterioration.

- Q2 margin 48.7% (-223bps YoY, c.-40bps QoQ).
- Management attributes the whole decline to the July 2025 intra-group renegotiation, margin-neutral at group level and pre-disclosed; lap completes in Q3.
- Capex is trivial ($25m); operating free cash flow $386m (+29.0%) converts c.94% of EBITDA.
- D&A rose 63% to $22m; segment absorbed $6m of IPO exceptional costs; operating profit $374m (+24.0%).

LONDON LISTING

Airtel Mobile Commerce N.V. listed in London on 14 October 2026 at £1.96, implying c.£5.3bn equity value; AAF retains 77.85%.

- 270m existing shares (10%) sold by minority holders (~$7bn per press reports); Airtel Africa sold nothing; 27m-share over-allotment outstanding.
- Minority put option ($509m liability at 30 September) ceases to be exercisable and will be derecognised in H2 with the gain to equity.
- Standalone maiden H1 (per user-supplied iBetAfrica article, not verified): revenue $830m (+34% / +25.1% cc), 56.7m customers, TPV $128bn, PAT $228m.
- Standalone underlying EBITDA $398m at 48.0% (50.8% prior); $10m revenue and 4.2m customer gap is Nigeria PSB outside listed perimeter; EBITDA definitions not bridged.
- Operating relationships unchanged on arm's-length terms; AAF shareholders retain c.78% of the economics and now have a listed valuation reference.

MOBILE MONEY SEGMENT, US $M	Q2-27	QOQ	YOY REP	YOY CC	H1-27	H1 YOY REP	H1 YOY CC
Revenue (pre-elimination)	**437**	**+8.2%**	**+31.3%**	**+25.8%**	**840**	**+34.8%**	**+25.8%**
Wallet services (cash-in/cash-out)	213	+8.7%	+30.9%	+25.0%	409	+36.9%	+27.6%
Payments & transfers	191	+11.0%	+38.2%	+33.2%	363	+38.4%	+29.8%
Financial services	24	+14.3%	+71.1%	+63.7%	45	+68.9%	+56.9%
Others (retention revenue)	9	-40.0%	-51.6%	-54.7%	23	-34.6%	-40.7%
Revenue post-elimination Q2 post-elimination derived as H1 ($699m) less Q1 ($334m); prior-year Q2 derived as $494m less $225m.	c.365	+9.3%	c.+36%	—	699	+41.5%	—
REVENUE BY REGION							
Nigeria (PSB)	6	+20%	+199.0%	+165.1%	10	+176.4%	+141.7%
East Africa	318	+7.1%	+27.1%	+20.0%	615	+31.9%	+20.5%
Francophone Africa	113	+10.8%	+40.2%	+41.3%	215	+40.6%	+40.2%
Underlying EBITDA	**213**	**+7.6%**	**+25.6%**	**+18.9%**	**411**	**+27.4%**	**+17.2%**
Underlying EBITDA margin	48.7%	c.-40bps	-223bps	-280bps	48.9%	-287bps	-359bps
Depreciation & amortisation	(12)	+20%	+78.3%	+71.5%	(22)	+63.3%	+54.0%
Operating exceptional items (IPO costs)	(6)	n/a	n/a	—	(6)	n/a	—
Operating profit	190	+3.3%	+19.9%	+13.3%	374	+24.0%	+13.7%
Capex	10	-33.3%	-46.5%	—	25	+6.0%	—
Operating free cash flow	203	+10.9%	+35.1%	—	386	+29.0%	—
KPIS							
Mobile money customers (m)	60.9	+7.8%	+22.4%	—	60.9	+22.4%	—
Nigeria / East Africa / Francophone customers (m)	4.2 / 44.1 / 12.6	+23.5% / +5.8% / +10.5%	+110.9% / +13.5% / +41.9%	—	4.2 / 44.1 / 12.6	—	—
Total processed value ($bn)	68.6	+11.7%	+42.1%	+36.5%	130.1	+46.4%	+36.9%
Annualised TPV ($bn)	275	vs >245	+36.5%	—	275	vs 196 (FY26)	—
TPV per customer ($/month)	n/a	vs 371 (Q1)	—	—	380	+11.7%	—
Mobile money ARPU ($/month)	2.5	vs 2.4	+6.4%	+1.9%	2.5	+10.0%	+2.6%
Implied take rate (revenue/TPV) Our calculation from segment revenue and TPV; not a company-disclosed metric.	0.64%	vs 0.66%	vs 0.69%	—	0.65%	vs 0.70%	—
Active agents / active merchants	>2.5m / 587k	—	+25.3% / +85.5%	—	>2.5m / 587k	—	—
App-transacting customers / app penetration	6.6m / 19.9%	—	vs 14.6%	—	6.6m / 19.9%	—	—
Mobile money penetration of telco base	31.4%	—	+2.8pp	—	31.4%	+2.8pp	—
Share of group revenue (incl. cross-charge)	n/a	vs 21.8% (Q1)	—	—	22.0%	—	—

5 SEGMENT DEEP-DIVE — NIGERIA (MOBILE SERVICES + AIRTEL MONEY PSB)

Still the fastest-growing region (+27.0% cc) at a 58.1% margin, but Q2 decelerated to +24.4% cc as the tariff uplift lapped, fuel doubled and the airtime-advance disruption bit; 26.5% of group revenue.

REVENUE GROWTH

H1 revenue $1,014m, +45.0% reported and +27.0% cc; Q2 decelerated to 24.4% cc from 29.8% in Q1 as the tariff uplift fully lapped.

- Reported/cc gap explained by naira appreciation: weighted average NGN/USD 1,360 versus 1,553 a year earlier; 1,367 in Q1.
- Q2 revenue $514m, +40.2% reported, only 2.6% QoQ — first clear deceleration since Q4 FY25 tariff adjustments, whose full effect landed in Q2 FY26.
- Nigeria is 26.5% of group revenue, which management cites as evidence the portfolio is balanced against single-currency shocks.

VOICE AND AIRTIME ADVANCE

Voice revenue $370m grew 20.6% cc but fell 6.3% QoQ in USD to $179m on regulator-mandated airtime-advance partner changes.

- Voice ARPU +7.0%, customers +15.1%.
- New lenders took longer than expected to stabilise and customers temporarily lost access to airtime credit; management says operations are now normalising.

DATA

Data revenue $544m grew 33.8% cc (52.7% reported) but Q2 cc growth slowed to 30.1% from 38.0% in Q1.

- Data customers +11.8% to 32.9m; data ARPU +20.5% cc; smartphone penetration 56.8% (+4.0pp, highest in the group); usage 16.7GB per month from 12.7GB.
- Data customers rose only 0.4m QoQ against 1.6m total net adds; mobile services ARPU growth slowed to 8.4% cc in Q2 from 16.5% in Q1.
- Management cites 'more-for-more' pricing — new customers enter at lower consumption, heavy users see revenue per GB fall — plus still-small home broadband and B2B.
- Competition described as rational with no price war; NCC engagement on further tariffs continues with no minimum interval constraint, but no new increase in hand.

PROFITABILITY AND FUEL

H1 underlying EBITDA $589m (+50.2% reported, +31.5% cc) at 58.1% margin (+199bps), the group's best, despite fuel prices doubling since the year started.

- Fuel impact built progressively; Q2 absorbed the full effect.
- Mobile services margin declined c.130bps sequentially to 57.5% from 58.8%; regional margin including PSB 57.6% from 58.6%.
- The cost efficiency programme limited the damage but did not eliminate it.

CAPEX AND CASH FLOW

Mobile services capex $177m (+139.9%), heavily Q1-weighted ($128m then $50m); operating free cash flow rose 28.2% to $409m.

- The 900MHz licence was renewed for $37m (payable in naira) for ten years.
- Nigeria PSB (SmartCash) remains a rounding error at $10m revenue and 4.2m customers but is doubling.

DIVIDEND UPSTREAMING

CFO said Nigeria should turn retained-earnings positive this calendar year, enabling dividend upstreaming from 2027 if currencies stay stable.

- This follows the post-devaluation losses.
- A meaningful change in the cash story for a market that has been a trapped-cash problem since 2023.

NIGERIA REGION, US $M	Q2-27	QOQ	YOY REP	YOY CC	H1-27	H1 YOY REP	H1 YOY CC
Revenue (incl. mobile money)	**514**	**+2.6%**	**+40.2%**	**+24.4%**	**1,014**	**+45.0%**	**+27.0%**
Voice	179	-6.3%	+33.2%	+18.1%	370	+37.8%	+20.6%
Data	281	+6.8%	+46.5%	+30.1%	544	+52.7%	+33.8%
Mobile money (PSB)	6	+20%	+199.0%	+165.1%	10	+176.4%	+141.7%
Other	49	+11.4%	+28.5%	+14.1%	94	+29.5%	+13.4%
Underlying EBITDA	**296**	**+1.0%**	**+42.8%**	**+26.7%**	**589**	**+50.2%**	**+31.5%**
Underlying EBITDA margin (region)	57.6%	-100bps	+106bps	+104bps	58.1%	+199bps	+198bps
Mobile services EBITDA margin	57.5%	-130bps	+64bps	+62bps	58.2%	+181bps	+181bps
Mobile services capex	50	-60.9%	+41.0%	—	177	+139.9%	—
Mobile services operating FCF	244	+48.8%	+41.3%	—	409	+28.2%	—
KPIS							
Total customers (m)	61.7	+2.7%	+15.1%	—	61.7	+15.1%	—
Data customers (m)	32.9	+1.2%	+11.8%	—	32.9	+11.8%	—
Mobile money customers (m)	4.2	+23.5%	+110.9%	—	4.2	+110.9%	—
Blended ARPU ($/month)	2.8	flat	+22.6%	+8.8%	2.8	+28.7%	+12.7%
Mobile services ARPU cc growth	+8.4%	vs +16.5%	—	—	+12.3%	—	—
Smartphone penetration	56.8%	vs 56.1%	+4.0pp	—	56.8%	+4.0pp	—
Smartphone data usage (GB/month)	16.7	vs 14.9	vs 12.7	—	16.7	vs 12.7	—
NGN/USD weighted average	c.1,353 (derived)	vs 1,367	—	—	1,360	vs 1,553	—
Share of group revenue	26.1%	—	—	—	26.5%	vs 23.4%	—

6 SEGMENT DEEP-DIVE — EAST AFRICA (KENYA, MALAWI, RWANDA, TANZANIA, UGANDA, ZAMBIA)

Largest region (46.5% of revenue) accelerated to +18.6% cc in Q2 with a 54.6% margin; mobile money ($615m) now exceeds voice ($593m).

REVENUE AND MIX

Largest region (46.5% of revenue): revenue +24.8% reported, +18.2% cc to $1,777m; Q2 accelerated to 18.6% cc from 17.8% despite a high base.

- Reported premium driven by Zambian kwacha appreciation; Q2 revenue $923m, +22.3% reported, +8.1% QoQ — fastest sequential growth of the three regions.
- Voice $593m (+8.9% cc, essentially the 8.0% customer growth); data $566m (+26.0% cc; 29.4% in Q2).
- Mobile money $615m (+20.5% cc); other $89m (-2.7% cc, -11.0% in Q2); composition is the most balanced in the group.
- Milestone: mobile money revenue overtook voice in the half.

MOBILE SERVICES KPIS

Mobile services revenue $1,258m grew 15.4% cc (16.4% in Q2) on customers +8.0% to 88.8m and ARPU +6.1% cc to $2.4.

- Data customers +15.2% to 39.5m; data ARPU +8.1% cc; smartphone usage 12.2GB per month from 9.0GB.
- Smartphone penetration +4.9pp to 48.6%, the lowest of the three regions, hence the longest runway.
- Mobile money customers +13.5% to 44.1m — slower than the group's 22.4% as the most penetrated region; growth is engagement-led (payments and transfers, financial services).

MARGINS

Regional underlying EBITDA $953m (+26.0% reported, +18.2% cc) at 53.6% margin, +54bps reported but -1bp cc — expansion is partly a kwacha effect.

- Mobile services margin rose 225bps to 50.5% (211bps cc) and jumped 350bps QoQ to 52.2% in Q2.
- East Africa appears to have handled the fuel shock far better than Nigeria or Francophone, helped by grid access and the efficiency programme.
- Q2 regional margin 54.6% (+57bps YoY, +210bps QoQ).

CAPEX AND CASH FLOW

Mobile services capex nearly doubled to $247m (+98.9%) yet operating free cash flow was broadly stable at $388m (+2.0%).

- Capex $138m in Q1, $109m in Q2; includes Kenya acquisition of 100MHz of 3,500MHz spectrum for $65m over 25 years (5G/fixed-wireless enabler).
- Q2 OpFCF $231m, +19.1% YoY.
- The Nxtra 44MW Kenya data centre (the largest in East Africa, per management) has broken ground.

UGANDA COVERAGE OBLIGATION

Uganda's 90% coverage obligation remains open; we would treat it as a capex/timing risk rather than a solved issue.

- Management says engagement continues and rollout plans demonstrate commitment.
- Management anticipates no material repercussions.

EAST AFRICA REGION, US $M	Q2-27	QOQ	YOY REP	YOY CC	H1-27	H1 YOY REP	H1 YOY CC
Revenue (incl. mobile money)	**923**	**+8.1%**	**+22.3%**	**+18.6%**	**1,777**	**+24.8%**	**+18.2%**
Voice	308	+8.1%	+13.0%	+9.8%	593	+14.6%	+8.9%
Data	298	+10.8%	+30.9%	+29.4%	566	+30.3%	+26.0%
Mobile money	318	+7.1%	+27.1%	+20.0%	615	+31.9%	+20.5%
Other	41	-14.6%	-11.2%	-11.0%	89	-1.2%	-2.7%
Underlying EBITDA	**504**	**+12.5%**	**+23.5%**	**+18.8%**	**953**	**+26.0%**	**+18.2%**
Underlying EBITDA margin (region)	54.6%	+210bps	+57bps	+12bps	53.6%	+54bps	-1bp
Mobile services revenue	652	+7.4%	+18.7%	+16.4%	1,258	+20.2%	+15.4%
Mobile services EBITDA / margin	340 / 52.2%	+15.3% / +350bps	+23.6% / +205bps	+20.8% / +188bps	635 / 50.5%	+25.8% / +225bps	+20.5% / +211bps
Mobile services capex	109	-21.0%	+34.3%	—	247	+98.9%	—
Mobile services operating FCF	231	+47.1%	+19.1%	—	388	+2.0%	—
KPIS							
Total customers (m)	88.8	+2.7%	+8.0%	—	88.8	+8.0%	—
Data customers (m)	39.5	+4.5%	+15.2%	—	39.5	+15.2%	—
Mobile money customers (m)	44.1	+5.8%	+13.5%	—	44.1	+13.5%	—
Blended ARPU ($/month)	3.5	vs 3.3	+12.2%	+8.8%	3.4	+14.6%	+8.6%
Mobile services ARPU ($/month)	2.5	vs 2.4	+8.9%	+6.8%	2.4	+10.5%	+6.1%
Smartphone penetration	48.6%	vs 48.1%	+4.9pp	—	48.6%	+4.9pp	—
Smartphone data usage (GB/month)	12.2	vs 11.9	vs 9.0	—	12.2	vs 9.0	—
Share of group revenue	46.9%	—	—	—	46.5%	vs 47.8%	—

7 SEGMENT DEEP-DIVE — FRANCOPHONE AFRICA (CHAD, DRC, GABON, MADAGASCAR, NIGER, REP. OF CONGO, SEYCHELLES)

Turnaround sustained: cc growth accelerated to +20.3% in Q2 with mobile money +40%; margin flat at 44.0% as fuel offset operating leverage; OpFCF -21.6% on doubled capex.

REVENUE MOMENTUM

Revenue $1,022m, +19.6% reported and +19.2% cc; Q2 accelerated to 20.3% cc from 18.0% in Q1, a milestone management flagged.

- The one region where reported and cc growth align (CFA/euro peg); Q2 revenue $529m, +19.5% reported, +7.5% QoQ.
- The region was the group's laggard three years ago.
- Mobile money is the standout: $215m (+40.2% cc; 41.3% in Q2) on customers +41.9% to 12.6m (+10.5% QoQ), led by DRC.
- Data +24.0% cc to $461m (26.6% in Q2); voice only +5.5% cc to $334m as interconnect rate cuts pushed voice ARPU down despite customers +14.3%.
- Other revenue +5.5% to $64m.

MOBILE SERVICES KPIS

Mobile services revenue $867m (+15.3% cc; Q2 16.5% from 14.0%) with growth entirely volume-driven; ARPU flat at $3.4 (-0.1% cc).

- Customers +14.3% to 43.4m; data customers +21.3% to 17.4m.
- Smartphone penetration +5.4pp to 50.2%; smartphone usage 9.7GB per month from 7.6GB, the lowest of the regions, so most upside.
- 97.4% of sites now 4G (93.3% a year ago; 94.2% at June) after a heavy 4G overlay; 5G launched in Gabon and the Seychelles.

MARGINS

Regional underlying EBITDA $450m (+19.5% reported, +19.3% cc) at 44.0% margin, flat YoY, as fuel inflation absorbed the operating leverage.

- Margin -4bps reported, +2bps cc; down 130bps QoQ to 43.4% in Q2.
- Mobile services margin +93bps YoY to 40.5% but fell to 39.9% in Q2 from 41.1% in Q1, fuel-driven and partly offset by efficiency savings.
- Lowest-margin region by a wide distance (Nigeria 58%, East Africa 54%), reflecting scale, grid reliability and market structure.
- The medium-term margin opportunity is here if the revenue momentum holds.

CAPEX AND CASH FLOW

The cost of the turnaround is visible: mobile services capex +114.8% to $187m and operating free cash flow -21.6% to $164m.

- Capex $102m in Q1, $85m in Q2; Q2 OpFCF $94m, -3.2% YoY.
- Management's framing is that network investment unlocked customer growth across telecoms and mobile money; the Q2 acceleration supports that.

ADJACENT BETS AND SCALE

At 26.7% of group revenue, Francophone is now the same size as Nigeria in revenue terms but earns $139m less EBITDA.

- DRC 9MW data centre (land acquired).
- Starlink direct-to-device pilot in DRC.

FRANCOPHONE AFRICA REGION, US $M	Q2-27	QOQ	YOY REP	YOY CC	H1-27	H1 YOY REP	H1 YOY CC
Revenue (incl. mobile money)	**529**	**+7.5%**	**+19.5%**	**+20.3%**	**1,022**	**+19.6%**	**+19.2%**
Voice	170	+3.7%	+5.2%	+6.1%	334	+6.0%	+5.5%
Data	243	+11.5%	+26.0%	+26.6%	461	+24.4%	+24.0%
Mobile money	113	+10.8%	+40.2%	+41.3%	215	+40.6%	+40.2%
Other	32	-3.0%	+0.8%	+1.3%	64	+6.0%	+5.5%
Underlying EBITDA	**229**	**+4.1%**	**+18.0%**	**+18.8%**	**450**	**+19.5%**	**+19.3%**
Underlying EBITDA margin (region)	43.4%	-130bps	-57bps	-55bps	44.0%	-4bps	+2bps
Mobile services revenue	448	+7.2%	+15.8%	+16.5%	867	+15.8%	+15.3%
Mobile services EBITDA / margin	179 / 39.9%	+4.1% / -120bps	+16.8% / +35bps	+17.7% / +41bps	351 / 40.5%	+18.5% / +93bps	+18.2% / +100bps
Mobile services capex	85	-16.7%	+51.6%	—	187	+114.8%	—
Mobile services operating FCF	94	+34.3%	-3.2%	—	164	-21.6%	—
KPIS							
Total customers (m)	43.4	+2.1%	+14.3%	—	43.4	+14.3%	—
Data customers (m)	17.4	+2.4%	+21.3%	—	17.4	+21.3%	—
Mobile money customers (m)	12.6	+10.5%	+41.9%	—	12.6	+41.9%	—
Blended ARPU ($/month)	4.1	vs 3.9	+3.7%	+4.4%	4.0	+3.6%	+3.2%
Mobile services ARPU ($/month)	3.5	vs 3.4	+0.5%	+1.1%	3.4	+0.3%	-0.1%
Smartphone penetration	50.2%	vs 49.8%	+5.4pp	—	50.2%	+5.4pp	—
Smartphone data usage (GB/month)	9.7	vs 9.3	vs 7.6	—	9.7	vs 7.6	—
Sites on 4G	97.4%	vs 94.2%	vs 93.3%	—	97.4%	+4.1pp	—
Share of group revenue	26.9%	—	—	—	26.7%	vs 28.6%	—

8 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Record Q2 underlying EBITDA margin of 50.4% (+144bps YoY, +35bps QoQ) and H1 50.3% (+172bps) delivered while absorbing a 2–2.5pp fuel headwind — the cost efficiency programme (energy, AI network optimisation, grid/solar conversion) is demonstrably real and the H1 margin would have been 1.5–2pp higher at Q4 FY26 fuel prices. structural
- Mobile money compounding at a steady 25.8% cc with TPV +36.9% cc to $130bn (annualised $275bn), customers +22.4% to 60.9m, merchants +85.5% and financial services revenue +56.9%; now a separately listed asset at c.£5.3bn equity value with AAF retaining 77.85% — a hard SOTP marker. structural
- Data revenue +28.0% cc to $1,571m on 15% more data customers and 10.7% ARPU growth, now 50% of mobile services revenue; smartphone penetration 51.6% with c.71m 4G/5G users on a 194m base leaves a long conversion runway. structural
- Leverage down to 1.6x (0.5x lease-adjusted; lease-adjusted net debt $1,373m from $1,633m), cost of debt -231bps to 10.1%, >95% of OpCo debt in local currency, ROCE 25.7% (+543bps) — the balance sheet can fund the capex step-up and returns simultaneously. structural
- Francophone and East Africa both accelerated in Q2 (cc +20.3% and +18.6%) — group growth is no longer a Nigeria price-increase story; the three regions are each growing 18–27% cc with East Africa's mobile services margin +350bps QoQ. mixed
- Nigeria upstreaming: management expects retained earnings to turn positive this calendar year with dividends from Nigeria from 2027, and the 900MHz licence is renewed for ten years at $37m payable in naira — removes a long-standing trapped-cash overhang. early
- Underlying EPS (pre-exceptional, ex FX/derivative gains) rose 71% to 11.8c from 6.9c; interim DPS +9.2% to 3.1c; $108.7m buyback executed with the final 0.33% tranche to resume and the board to review a further programme on completion. structural

▼ LOWLIGHTS

- Nigeria momentum faded in Q2: cc revenue growth 24.4% vs 29.8% in Q1, data cc growth 30.1% vs 38.0%, mobile services ARPU growth 8.4% vs 16.5%, voice revenue -6.3% QoQ and data net adds of just 0.4m. Management blames the tariff lap, 'more-for-more' pricing and the airtime-advance partner disruption — plausible, but Nigeria has no new tariff approval and fuel there has doubled. watch
- Capex more than doubled to $657m (17.2% of revenue vs 10.7%) and normalised FCF fell to $280m from $368m; D&A +26% and lease interest +$47m are the lagging P&L costs. The ~$1.1bn FY27 guide implies H2 of only ~$443m, which looks optimistic against 'we remain open to possibilities' — upside risk to capex, downside to FCF. watch
- Reported growth has been flattered by NGN (avg 1,360 vs 1,553) and ZMW appreciation (c.$187m of H1 revenue, c.+7.4pp of reported growth); the CFO explicitly said the lapping benefit ends in Q3, so reported revenue/EBITDA growth should step down toward the c.20% cc rate just as the stock derates. one-off
- $55m of exceptionals ($37m in-principle settlement of a commercial dispute at an unnamed subsidiary; $19m Airtel Money IPO costs) plus FX/derivative gains collapsing to $2m from $90m; contingent liabilities up $56m to $277m including a $132m retrospective WHT assessment on historical dividends with no provision taken. governance
- Effective tax remains punitive — total tax $362m, company-stated ETR 40.2% (44.5% reported tax/PBT) against a c.32% statutory blend because of profit mix and withholding tax on subsidiary dividends; NCI absorbs 18% of PAT, and the Airtel Money listing institutionalises a c.22% minority leak on the fastest-growing cash stream. structural
- Mobile money segment margin -287bps to 48.9% (Q2 48.7%) from the intra-group repricing, and the implied take rate is drifting down (c.0.65% vs 0.70%) as payments outgrow cash-out — neutral at group level but it is the variable the market will now price in the listed subsidiary. mixed
- Francophone remains structurally low-margin (44.0% region, 39.9% mobile services in Q2, -120bps QoQ) and its OpFCF fell 21.6% on doubled capex; Uganda's 90% coverage obligation and Nigeria tariff engagement are unresolved regulatory items. watch

9 FORECAST & OUTLOOK

Guidance bridge. There is no formal revenue or EBITDA guidance and nothing changed at this print. The only quantitative guide — FY27 capex of approximately $1.1bn, set at the FY26 results on 8 May 2026 — was reiterated despite H1 spend of $657m (60% of the full-year number), so the arithmetic implies a much lighter H2 of ~$443m; the CEO's 'we remain open to possibilities' leaves the door ajar for an upward revision. On margins, management reiterated 'above 50%' with fuel 90% absorbed in Q2 and only marginal incremental drag expected in Q3 if prices stabilise (though they noted fuel rose again in some markets in the three weeks before the call). The dividend framework (mid-to-high single-digit growth) and the 1% buyback (67% done, 0.33% to resume) are unchanged. The division driving the narrative is mobile services in Nigeria — the deceleration there, rather than any guidance change, is what the market reacted to — while the mobile money segment's intra-group margin lap completes in Q3 and the FX translation tailwind (NGN/ZMW) expires in Q3.

FY27 CAPEX GUIDANCE	UNDERLYING EBITDA MARGIN	INTERIM DIVIDEND / BUYBACK	LEVERAGE
~$1.1bn (unchanged)	**H1 50.3% / Q2 50.4% record**	**3.1c (+9.2%) / $108.7m**	**1.6x / 0.5x lease-adjusted**
H1 $657m done → implied H2 ~$443m vs H1 run-rate; risk skewed to upward revision	FY26 49.3% → mgmt 'above 50%'; fuel drag 2–2.5pp, 90% absorbed; +1.5–2pp latent if fuel normalises	Policy unchanged (mid-to-high single-digit DPS growth); remaining 0.33% buyback to resume, further programme under board review	From 1.8x / 0.5x at Mar-26 and 2.1x / 0.8x at Sep-25; trajectory down on EBITDA growth despite lease additions

Independent view. Our FY27 (Mar-27) estimates (not company guidance): revenue ~$7.9–8.0bn (+24% reported, ~+20% cc), underlying EBITDA ~$4.0bn at a ~50.0–50.5% margin, pre-exceptional EPS ~24–25c (FY26: 18.6c), capex ~$1.1–1.2bn, year-end leverage ~1.5x / ~0.4–0.5x lease-adjusted. Arithmetic: Q2 revenue $1,970m; with FX lapping gone we assume Q3 ~$2.04bn (+21% YoY on $1,685m) and Q4 ~$2.10bn (+20% on $1,748m), giving H2 ~$4.1bn and FY ~$7.96bn. H2 EBITDA at ~50.2% ≈ $2.08bn (FY ~$4.0bn, +27%); H2 D&A ~$660m, net finance cost ~$450m ex-FX, ETR ~41%, NCI ~18% → H2 attributable ~$470m ≈ 13c on 3.63bn shares, so FY pre-exceptional EPS ≈ 11.7c + 13c ≈ 24–25c and reported EPS ≈ 23c after the $55m H1 exceptionals. **Next quarter (Q3 FY27, Dec-26):** expect cc revenue growth of ~19–20% but reported growth stepping down to ~20–22% from 25.7% as the naira/kwacha comparison normalises; Nigeria cc growth likely settles in the low-20s absent a tariff approval; mobile money segment margin stabilises ~48–49% as the intra-group lap completes; group margin ~50% ±50bps depending on fuel. **Swing factors:** (1) fuel — each 1pp of margin is ~$40m of H2 EBITDA; (2) NGN — a 1% USD move is $66–68m revenue, $33–35m EBITDA and $27–29m finance cost on the company's 12-month sensitivity, with $13–15m of the finance-cost line NGN-specific; (3) Nigeria tariff re-engagement (upside) versus airtime-advance normalisation (recovery); (4) capex creep above $1.1bn; (5) derecognition of the $509m Airtel Money put liability (equity, non-P&L) and the over-allotment outcome; (6) the $132m WHT assessment. **Leverage direction is down** on EBITDA growth even with ~$0.5bn of annual lease additions; the main constraint on cash returns is capex intensity, not the balance sheet. We would want to see Nigeria data net adds and ARPU re-accelerate in Q3 before concluding the Q2 wobble was purely timing.

What to watch next quarter:

- Nigeria Q3 FY27 cc growth, data net adds and ARPU: does the airtime-advance recovery and 'more-for-more' pricing restore >25% cc growth, and is there any NCC tariff approval?
- Fuel/energy cost line (network opex as % of revenue, 19.0% in Q2 vs 17.8% in Q1) and whether the Q3 margin holds ≥50% given renewed fuel increases flagged on the call.
- Reported-vs-cc convergence in Q3 as NGN/ZMW lapping ends; any renewed naira or kwacha weakness (company sensitivity: 1% USD move = $33–35m EBITDA).
- FY27 capex outturn vs the ~$1.1bn guide (H2 implied ~$443m) and normalised FCF; D&A and lease-interest creep.
- Airtel Money post-IPO: over-allotment exercise, derecognition of the $509m put liability, take-rate trajectory and any change to intra-group terms; AAF's 77.85% stake value vs its own market cap.
- Resumption and completion of the remaining 0.33% buyback and the board's decision on a further programme; Nigeria dividend upstreaming from 2027.
- Contingent liabilities ($277m incl. $132m WHT assessment), Uganda coverage obligations, and identity/terms of the $37m dispute settlement.

DATA CONFIDENCE: HIGH HIGH on all financial and KPI figures, which are taken directly from Airtel Africa's H1 FY27 results release (30 Oct 2026) and cross-checked against the Q1 FY27 release (23 Jul 2026), the FY26 release (8 May 2026) and the earnings-call transcript. QoQ growth rates and implied metrics (post-elimination Q2 mobile money revenue, take rate, capex/revenue, derived Q2 NGN rate, H2 capex implied by guidance) are our calculations from rounded $m figures and may differ by ±0.1–0.3pp from company-computed rates; YoY/cc rates are company-reported. MEDIUM on the share-price reaction (secondary sources disagree slightly: -5.54% to ~259p vs -5.3%; not verified against the LSE official close) and on Airtel Money's standalone results (from the user-supplied iBetAfrica article, not verified against Airtel Money's own release; its EBITDA definition does not reconcile exactly to the group segment). No sell-side consensus was available, so 'vs expectations' commentary is qualitative. FX: company reports in USD, no conversion applied; the Airtel Money IPO price (£1.96) is quoted as reported with the ~$7bn valuation per press reports. The FY27 estimates in the forecast section are our own and are labelled as such.

Sources: [Primary] Airtel Africa plc — Results for half year ended 30 September 2026 (press release and condensed interim financial statements, 30 Oct 2026) — PRIMARY; [Primary] Airtel Africa plc — Results for quarter ended 30 June 2026 (Q1 FY27, 23 Jul 2026; used for QoQ comparatives) — PRIMARY; [Primary] Airtel Africa plc — Results for year ended 31 March 2026 (FY26, 8 May 2026; FY27 capex guidance baseline of ~$1.1bn, FY26 comparatives) — PRIMARY; [Secondary] Investing.com — Earnings call transcript: Airtel Africa H1 FY27 (CEO Sunil Taldar, CFO Kamal Dua; Q&A with Goldman Sachs, Citi, HSBC) — SECONDARY (transcript); [Secondary] Investing.com — Airtel Africa H1'27 slides summary (normalised FCF $280m, capex payout $713m, share reaction -5.54% to 259p) — SECONDARY; [Secondary] Investing.com — 'Why is Airtel Africa stock sliding today?' (intraday reaction, 52-week low 266.4p, open 282p) — SECONDARY; [Secondary] iBetAfrica — Airtel Money revenue $830m / TPV $128bn (user-supplied; Airtel Money standalone H1 figures) — SECONDARY; [Secondary] Alchemist24 (Substack) — 'Airtel Africa: Excellent Results, Falling Shares' (corroborates -5.3% day move) — SECONDARY.

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.